

ORIGINAL

(S E R V E D)
(OCTOBER 19, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

October 19, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

MOTION FOR LEAVE TO CLASSIFY SUBMITTED MATERIAL
AND FOR AMENDMENT OF PROTECTIVE ORDER DENIED

Background

Respondent Sea-Land Service, Inc. (Sea-Land), by motion dated May 28, 1992, sought a ruling that Mr. John J. McGonegle's affidavit dated February 25, 1992, be made subject to the Protective Order dated April 20, 1990.

The affidavit was attached to, and in support of, complainants' (GovGuam) West Coast-Guam Summary Judgment motion dated February 27, 1992. The cover of the motion

was stamped, "Confidential Business Information Subject to Protective Order." The individual pages of the motion and the affidavit in question were not so stamped.

Sea-Land argued that the affidavit contains sensitive, confidential and proprietary Sea-Land business information and should be made subject to the Protective Order. Under that order, material designated as confidential business information shall be used only for purposes of this proceeding and any judicial review of it. Sea-Land's concern was that GovGuam might release the business information to a third party or the public.

Mr. McGonegle was formerly in the employ of Sea-Land Motor Freight, Inc. (SLMF), as President and a Director. SLMF is a subsidiary of Sea-Land Service, Inc. Mr. McGonegle is now in the employ of GovGuam. After his position with Sea-Land was terminated for compensation he signed a General Release which included a non-disclosure clause.

In the transmittal letter with the Motion for Summary Judgment, GovGuam stated that it did not consider the McGonegle affidavit subject to the Protective Order. Sea-Land acknowledged this but stated that the full extent and the pertinent facts were aired for the first time at a deposition of Mr. McGonegle on May 12, 1992. The affidavit has been made public after Sea-Land raised no objection to GovGuam's notice that the affidavit would not be accorded confidential treatment.

Sea-Land's motion dated May 28, 1992, to have the McGonegle affidavit made subject to the Protective Order was denied because making such a request 90 days after the document was served on the parties was not shown to be timely and because Sea-Land had

not otherwise established that Mr. McGonegle's affidavit should be made subject to the Protective Order.

Present Motion

Sea-Land now seeks Mr. McGonegle's testimony submitted on August 31, 1992, classified as confidential business information subject to the terms and provisions of the Protective Order. Additionally, Sea-Land requests that the Protective Order be amended to cure an asserted latent gap in the coverage of the Protective Order which has permitted the disclosure of Sea-Land and SLMF confidential information. GovGuam and witness McGonegle have submitted for filing "public" versions of documents containing Sea-Land and SLMF information that Sea-Land would have been permitted to mark "confidential business information subject to Protective Order" had it possessed control over or review of such information prior to its submission. Sea-Land urges that the foregoing actions by GovGuam are inconsistent with the policy rationale underlying the Protective Order. Sea-Land states that it must continue to assert its objections to Mr. McGonegle's disclosures to GovGuam in order to protect its rights at law outside the FMC proceeding.

Recognizing that its earlier similar request regarding Mr. McGonegle's affidavit was denied on the basis that its request was not timely presented, Sea-Land contends that this request for leave to classify (received on September 18, 1992) was made within a reasonable period of time subsequent to the filing of GovGuam's supplemental direct case containing Mr. McGonegle's testimony in question on August 31, 1992.

Sea-Land contends that the testimony of Mr. McGonegle, like his earlier affidavit, contains or is based substantially upon proprietary and confidential information of Sea-Land and SLMF which should have been classified as confidential.

Sea-Land seeks an order providing that:

1. The direct testimony of John J. McGonegle dated August 31, 1992, and all exhibits thereto be immediately classified as confidential business information subject to the Protective Order of Confidentiality.

2. The parties shall by agreement determine which portions of Mr. McGonegle's testimony will be relieved of the strictures of the Protective Order.

3. The Protective Order of Confidentiality dated April 20, 1990, be amended in the following respect:

Add paragraph 11:

Upon the discovery of information which should have been, or which a party in good faith believes should have been classified as confidential business information subject to the Protective Order of Confidentiality dated April 20, 1990, any party may bring a motion before the presiding officer for an order declaring that a certain document(s), exhibit(s), testimony or other information be afforded confidential treatment. The party desiring to so classify the information shall immediately notify the party, submitting or utilizing the information, in an attempt to obtain an agreement classifying such information. It shall be the responsibility of the party desiring to classify the information to contact each party to obtain agreement. Absent agreement, the party desiring classification shall bring a motion at the earliest opportunity, but in no event later than 15 (business) days after the date the information to be classified was first filed or introduced into the record, or if not filed or introduced into the record, then within 15 (business) days of the date the information was first utilized or disseminated. Any party opposing said designation shall have 5 (business) days to respond. The presiding officer may require a showing that the information is confidential, *i.e.*, that the information is of the type not generally disclosed to the public and that the party desiring classification has a rational and articulable basis for not publicly

disclosing such information, or that the information may be commercially valuable or potentially useful to competitors. If necessary, for purposes of hearing it is anticipated that such motions will be presented orally and ruled upon in a summary fashion. Upon notification of such motion, all parties shall refrain from any further dissemination of the documents or information at issue pending resolution.

The testimony of Mr. McGonegle recounts a number of points made in his affidavit which were determined in the August 12, 1992, ruling as not subject to the Protective Order. To the extent that statements in the testimony are identical in substance to the affidavit, Sea-Land recognizes the effect of the earlier ruling and understands the ruling as to that information. Notwithstanding, Sea-Land alleges that the testimony contains a number of points which were not disclosed by the affidavit. Thus, Sea-Land seeks leave to allow the entire testimony to be classified, with the parties promptly and by agreement to determine which portions of the August 31, 1992, testimony are substantially similar in substance to the earlier affidavit and which should be declassified.

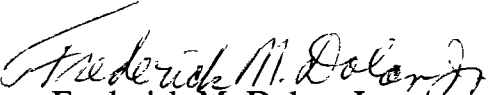
Sea-Land considers Mr. McGonegle's testimony to be largely not dispositive of the ultimate determination of the merits in this proceeding. It nonetheless requests an order now to prevent the further public dissemination of confidential corporate information, to prevent competitive harm to the business relationships of Sea-Land and SLMF and to prevent future transgressions of a similar type. GovGuam replied.

Sea-Land contends that the testimony of Mr. McGonegle contains a number of points which were not disclosed by his earlier affidavit. It refers to paragraphs 13, 20, 21, 29, 54, and 55 of the testimony as examples of such points. GovGuam, in Exhibit 1 to its reply, demonstrated the lack of validity to Sea-Land's claims. The substance of those paragraphs

of Mr. McGonegle's testimony is not shown to vary in any material respect from his earlier affidavit which is now public information. Thus no adequate reason has been shown to accord confidential treatment now to the McGonegle testimony and exhibits. In the circumstances, no sufficient basis has been established to grant respondent's additional request to classify the McGonegle testimony as confidential and then delegate to the parties the task of comparing the testimony and the affidavit to determine which portions of the testimony should be declassified. Finally, Sea-Land has failed to present any compelling reason to amend the protective order as it suggests. The protective order was entered over 29 months ago. It has generally operated as it was intended. This is the sole instance where a problem of this type has arisen and it is not shown to be likely to reoccur. Thus no substantive need has been shown for its entry. In the circumstances, Sea-Land's motion will be denied.

IT IS ORDERED:

The motion of respondent Sea-Land Service, Inc., for leave to classify the testimony of Mr. John J. McGonegle, submitted on August 31, 1992, as confidential business subject to the terms and provisions of the Protective Order is denied and the motion to amend the Protective Order is likewise denied.


Frederick M. Dolan, Jr.
Administrative Law Judge